



Econ 139: Labor Economics

Midterm Review

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Overview

- High level review/tips
- Go through some questions from the practice midterms
 - Practice Midterm 1 Question 1
 - Practice Midterm 1 Question 2
 - Practice Midterm 2 Question 3
 - Practice Midterm 2 Question 1
- General question/more practice problems if time

Theoretical Models

- We have discussed two frameworks to model the labor market
 - Perfectly Competitive
 - Monopsonistic
- Understand how to compute equilibrium wages in both frameworks (1) if given graph and (2) if given table of output and wages necessary to attract a given number of workers
- In both frameworks, marginal revenue product of labor is key

Empirics

- We have also discussed in a number of examples why it is often hard to identify causal effects in observational data
 - Estimating the impact of minimum wages on employment
 - Estimating the elasticity of labor supply to the firm
 - Estimating the returns to education
- Be able to think through (1) how confounding factors may impact interpretation of empirics and (2) understand the solutions we have discussed

Empirics Part 2

- We have often linked back our studies to wage inequality
- Understand various ways in which wage inequality is measured and strengths and weaknesses of them
- Be able to discuss some of the main results that we have found in the class
 - E.g. how has wage inequality progressed in the 20th century
 - E.g. what is the impact of minimum wages on employment
 - E.g. what is some evidence for monopsony power in the labor market



Practice Midterm 1 Question 1

Practice Midterm 1 Question 3

- Vague/Incomplete Answer

Inequality has gone up a lot over time. One thing that has impacted inequality is monopsony power. Monopsony power implies that workers are paid beneath their marginal product and this impacts inequality

Practice Midterm 1 Question 3

- Better, but still lacking key details. Also, writing is informal in places

Inequality first went down, but then has gone up over time. One measure of inequality is the 90/10 ratio. This gives the ratio of the 90th percentile of the wage to the 10th percentile of the wage. One thing that we showed impacted this is the minimum wage. If the minimum wage isn't increased alongside inflation, then this will cause the 90/10 ratio to increase.

Practice Midterm 1 Question 3

- Good Answer
- *In the United States, wage inequality decreased significantly starting around the 1940s. However, starting in the late 1970s, wage inequality began to rise and continued to rise until around 2019, at which point for the first time in 40 years we began to see decreases in inequality. There are a number of different measures of inequality, but these patterns are consistent across most measures, including using income shares, studying real wage growth across different groups, as well as using the 90/10 wage ratio. One of the contributing factors to the rise in wage inequality was the decline in the real value of the minimum wage. Throughout the 1980s, the real value of the minimum wage eroded significantly. Estimates vary, but the minimum wage can explain roughly 40% of the increase in the 90/10 wage ratio during this time period.*

Practice Midterm 2 Question Question 3

Practice Midterm 2 Question Question 1